

Multiple Choice (10 marks)

1. If consumers are advised that multigrained bread will substantially lessen the risk of cancer, which of the following will happen in the market for multigrained bread?
 - (a) The demand curve will shift to the left, decreasing the price of multigrained bread.
 - (b) The supply curve will shift to the left, increasing the price of multigrained bread.
 - (c) The demand curve will shift to the right, increasing the price of multigrained bread.
 - (d) The supply curve will shift to the right, decreasing the price of multigrained bread.
2. The competitive market for gasoline, a normal good, is currently in a state of equilibrium. Which of the following would most likely increase the price of gasoline?
 - (a) Household income falls.
 - (b) Technology used to produce gasoline improves.
 - (c) The price of subway tickets and other public transportation falls.
 - (d) The price of crude oil, a raw material for gasoline, rises.
3. Suppose the President plans to cut taxes for consumers and also plans to increase spending on the military. How does this affect real GDP and the price level?
 - (a) GDP increases and the price level decreases.
 - (b) GDP decreases and the price level increases.
 - (c) GDP stays the same and the price level increases.
 - (d) GDP increases and the price level increases.
4. In the equation of exchange if V and Q are constant then
 - (a) changes in the price level must be proportional to changes in the money supply.
 - (b) changes in the money supply have no effect on the price level.
 - (c) changes in the price level have no effect on the money supply.
 - (d) the equation is invalid.
5. The standard of living is measured by
 - (a) GDP.
 - (b) GDP per capita.
 - (c) Real GDP per capita.
 - (d) Actual GIP per capita.

True / False (10 marks)

Answer True or False

6. True or False: If the price of aluminum falls, the demand for bicycles is expected to fall because consumers will buy fewer bicycles.
7. True or False: According to Keynesian analysis, a decrease in the money supply would raise the price level in the economy.
8. True or False: If global warming eliminates all snow, ski instructors would face structural unemployment due to changes in the job market.
9. True or False: Business cycles occur infrequently in capitalist economies.
10. True or False: Budget surpluses and higher discount rates are effective measures to stimulate the economy during a recession.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a firm's ability to increase output at a greater rate than its inputs demonstrates economies of scale, providing specific examples to support your analysis.
12. Discuss how lowering personal income taxes can impact the aggregate demand function in an economy. Analyze the potential effects on consumer spending and overall economic growth.

End of Paper